

Outlook

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Fairness review: risk signal or missing-data signal?

Hi team,

Model Risk is concerned that channel, document availability and data completeness may become proxies for customer groups rather than genuine risk.

We looked at a version of this before. For the January 2022 review, please show what changed and whether the earlier conclusion still holds. Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population.

Can you test these explanations rather than choosing one at the start?

- performance gaps disappear after controlling for product and income
- branch and digital populations differ before modelling
- missing documents drive predictions

The decision is which features need restriction, monitoring or clearer business justification. Please give us a control view with the exceptions, owner and reason each item was included.

You should be able to build the evidence from monthly customer and KYC snapshots; monthly account snapshots, status events, limits, product enrolments and signatories; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments. Protected-attribute analysis must be governed and access-controlled; do not use ethnicity or gender for targeting or adverse treatment.

Thanks